



ENERGY TRANSFER

By Matthew Walker, Dev Patel, & Fatima Danish

Is Energy Transfer a Buy?

Let's Breakdown the fundamentals.

ET Current Price 3/6/25 4:00 EST:
\$17.71

Core Operations

Onshore Midstream Services

- Primary focus is onshore midstream services, focusing on transporting energy commodities from **production sites to end users**.

Conventional Resources:

- Crude, Natural Gas, and NGLs



Energy Transfer Overview



Introduction:

- Specializes in transporting, storing, and terminaling natural gas, crude oil, and natural gas liquids (NGLs).

Foundation:

- Founded in 1996 by Kelcy Warren and Ray Davis in Dallas, Texas. Energy Transfer is a leading is a leading midstream energy company.

Presence:

- Expanded operations to encompass approximately 125,000 miles of pipelines across 41 states, becoming one of the largest and most diversified energy companies in the US.

Values:

- Energy Transfer values integrity, community, excellence, and responsibility, ensuring transparency and safety..

Financial Overview

52 Week Range: 14.71 - 21.45

P/E Ratio: 15.02

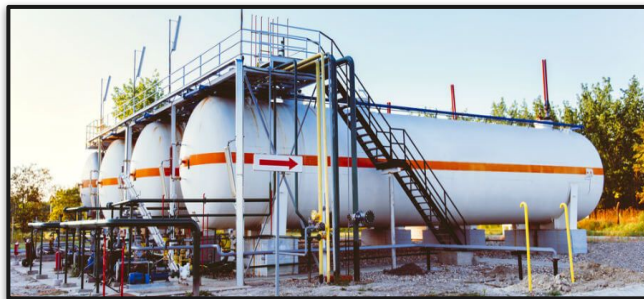
Market Cap: \$64.99B

Asset Breakdown

Crude Oil



Natural
Gas
Liquids
(NGLs)



Natural
Gas



Crude Oil



- **Pipeline Network:**
 - Energy Transfer' crude oil infrastructure includes around **14,500 miles of trunk** and gathering pipelines.
- **Transportation Volumes:**
 - The company transported approximately **40% of the crude oil produced in the United States in 2023**, and transportation volumes reaching a record 7.0 million barrels per day in 2024.
- **Gathering Volumes:**
 - Crude terminal output also set a company record at **3.4 million barrels per day** in 2023.

Crude Oil Segment

~14,500 miles of crude oil trunk and gathering lines
~ 1 million barrels per day of Permian crude oil takeaway capacity



Crude Oil Pipelines

- Directly connected to 6.8 MMbbls/d (~37%) of domestic refining capacity
- 1.85 MMbbls/d of ET-owned export capacity on USGC
- ET owns and operates substantial interests in the following systems/entities:
 - Bakken Pipeline (36.4%)
 - White Cliffs (51%)
 - Bayou Bridge Pipeline (60%)
 - Maurepas (51%)
 - Permian Express Partners (87.7%)
 - Permian JV (67.5%)
- ET also owns a 5% interest in Wink to Webster Pipeline

Crude Oil Acquisition & Marketing

- Crude truck fleet of approximately 360+ trucks, 350+ trailers, and ~166+ offload facilities
- Purchase crude oil at the lease from 3,000+ producers, and in-bulk from aggregators at major pipeline interconnections and trading points
- Market crude oil to refining companies and other traders across asset base
- Optimize assets to capture time and location spreads

Crude Oil Terminals

- Nederland, TX - ~30 million barrel capacity
- Houston, TX - ~18 million barrel capacity
- Cushing, OK - ~10 million barrel capacity
- Midland, TX terminals - ~3 million barrel capacity
- Patoka, IL - ~2 million barrel capacity
- Marcus Hook - ~1 million barrel capacity
- Colt Hub - ~1 million barrel capacity

Natural Gas Liquids (NGLs)

- **Pipeline and Storage Infrastructure:**
 - The company manages approximately **5,700 miles of NGL pipelines and 3,760 miles of refined products pipelines**. It also maintains a refined products storage capacity of 17.4 million barrels across more than 40 active marketing terminals. .
- **Export Operations:**
 - In 2023, the company exported a record volume of NGLs, totaling approximately **300 million barrels** from its Nederland and Marcus Hook Terminals, marking an **18% increase over 2022**.
- **Gathering and Fractionation:**
 - ET gathers approximately **890,000 barrels per day of NGLs** and has fractionation facilities with a capacity of about **1.2 million Bbls/d in 2024**.

Natural Gas Liquids (NGLs) & Refined Products Segment



Fractionation

- 8 Mont Belvieu fractionators (over 1.15 MMBbls/d)
- 165,000 Bbls/d Frac IX expected to go into service in Q4'26
- 35,000 Bbls/d Geismar Frac

NGL Storage

- Total NGL storage ~95 million barrels
- ~62 million barrels of NGL storage at Mont Belvieu (recently placed 2 million barrel butane well back into service)
- ~10 million barrels of NGL storage at Marcus Hook & Nederland Terminals
- ~8 million barrels of NGL storage at Spindletop
- ~5 million barrels of Butane storage at Hattiesburg

NGL Pipeline Transportation

- ~5,650 miles of NGL pipelines throughout Texas, Midwest, and Northeast
- ~1 MMBbls/d of Permian NGL takeaway to Mont Belvieu
 - Lone Star Express – ~900-mile NGL pipeline with ~870 Mbpd capacity (currently expanding system to add an incremental 90,000 Bbls/d)
 - West Texas Gateway - ~510-mile NGL pipeline with ~240,000 Bbls/d capacity (debottlenecking project underway)
- Mont Belvieu to Nederland Pipeline System
 - 71-mile propane pipeline with 300,000 Bbls/d capacity
 - 71-mile butane pipeline with 200,000 Bbls/d capacity
 - 62-mile ethane pipeline with 200,000 Bbls/d capacity
 - 62-mile natural gasoline pipeline with 30,000 Bbls/d capacity
- Mariner Pipeline Franchise
 - The Mariner East Pipeline System can move ~360,000 Bbls/d of NGLs (including ethane) to Marcus Hook
 - Mariner West Pipeline with 55,000 MBbls/d capacity

NGL Exports

- ~700,000 Bbls/d of combined LPG, ethane and natural gasoline export capacity from Nederland Terminal
- ~400,000 Bbls/d of combined LPG and ethane export capacity from Marcus Hook Terminal

Refined Products

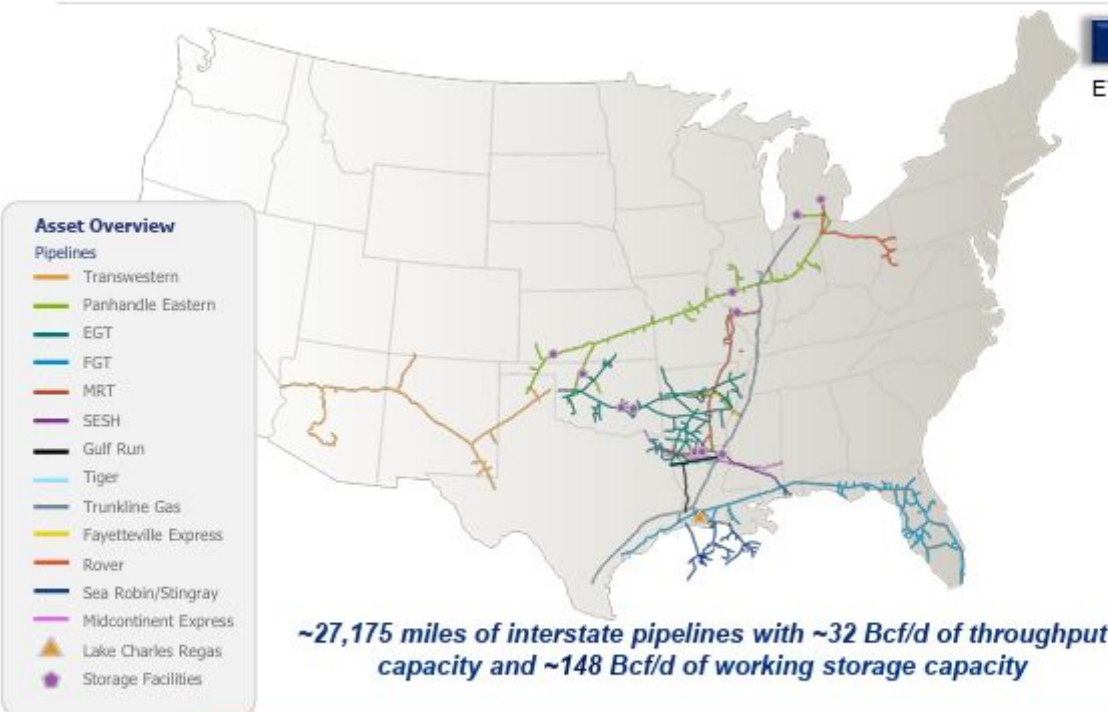
- ~3,760 miles of refined products pipelines in the northeast, midwest and southwest US markets
- 37 refined products marketing terminals with ~8 million barrels storage capacity

Natural Gas



- **Pipeline Network:**
 - Energy Transfer's natural gas pipeline network spans approximately **100,875 miles**.
- **Gathering and Transportation:**
 - ET gathers approximately **21.0 million MMBtu/d** (million British thermal units per day) of natural gas and **transports about 29.8 million MMBtu/d** through its intrastate and interstate pipeline systems.

Interstate Natural Gas Pipeline Segment



Interstate Highlights

ET's interstate pipelines provide:

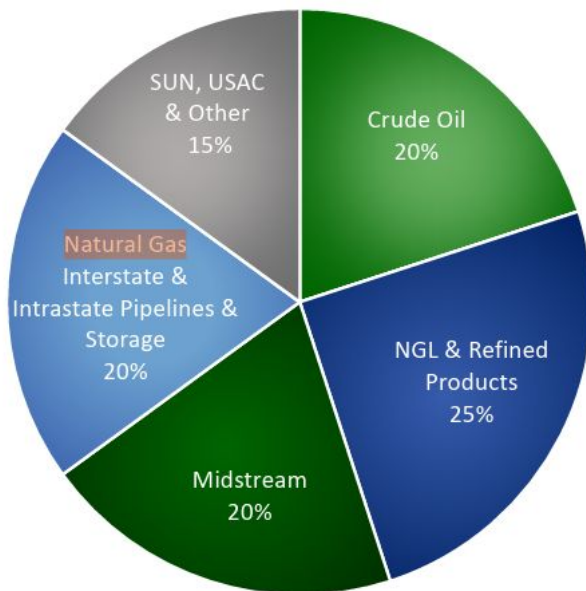
- **Stability**
 - Approximately 95% of revenue derived from fixed reservation fees
- **Diversity**
 - Access to multiple shale plays, storage facilities and markets
- **Growth Opportunities**
 - Well-positioned to capitalize on changing supply and demand dynamics
- **Gulf Run Pipeline provides natural gas transportation between the Haynesville Shale and Gulf Coast**
 - Zone 1 (formerly Line CP): ~200-mile FERC-regulated interstate pipeline with a capacity of ~1.4 Bcf/d¹
 - Zone 2 (new build): 135-mile, 42-inch interstate natural gas pipeline with 1.65 Bcf/d of capacity (placed into service in December 2022)
- **Trunkline Pipeline**
 - Completed backhaul project at end of 2023, which added an incremental 400,000 Mcf/d of southward flow capacity on the system at very efficient capital costs

	PEPL	TGC	TW	FGT	SR	FEP	Tiger	MEP	Rover	Stingray	EGT	MRT	SESH	Gulf Run ¹	Total
Miles of Pipeline	6,300	2,190	2,590	5,380	765	185	200	510	720	335	5,700	1,675	290	335	27,175
Capacity (Bcf/d)	2.8	0.9	2.1	4.0	2.0	2.0	2.4	1.8	3.4	0.4	4.8	1.7	1.1	3.0	32.4
Storage (Bcf)	57.0	13.0	--	--	--	--	--	--	--	--	29.3	48.9	--	--	148.2
Ownership	100%	100%	100%	50%	100%	50%	100%	50%	32.6%	100%	100%	100%	50%	100%	

1. Excludes ~0.4 Bcf/d of capacity leased by EGT on Zone 1

Well Balanced Asset Mix Provides Strong Earnings Support

Q3 2024 Adjusted EBITDA by Segment

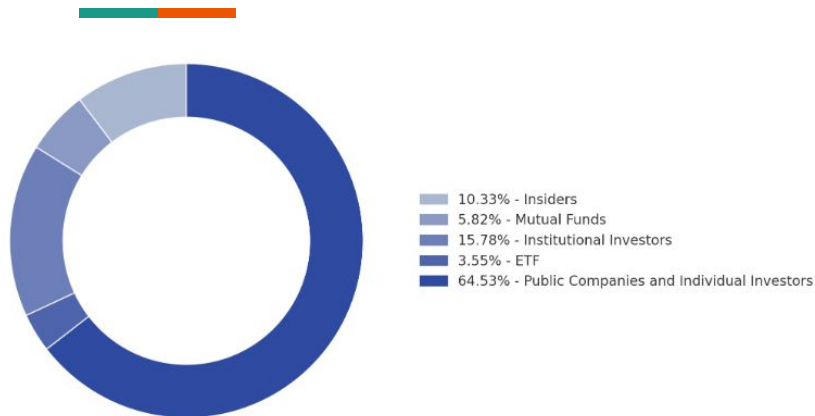


Segment	Contract Structure	Strength
Crude Oil	Fees from dedicated acreage, take-or-pay and throughput-based transportation, terminalling and storage	Significant connectivity from Permian, Bakken and MidCon basins to U.S. markets, including Nederland terminal
NGL & Refined Products	Fees from plant dedications and take-or-pay transportation contracts, storage fees and fractionation fees, which are primarily frac-or-pay structures	~60 facilities connected to ET's NGL pipelines, and benefit from recent frac expansions at the Mont Belvieu complex
Midstream (Gathering & Processing)	Minimum volume commitment (MVC), acreage dedication, utilization-based fees and percent of proceeds (POP)	Significant acreage dedications, including assets in Permian, Eagle Ford, Anadarko, Marcellus/Utica and Powder River Basins
Natural Gas Interstate Transport & Storage	Fees based on reserved capacity, take-or-pay contracts	Connected to all major U.S. supply basins and growing demand markets, including exports
Natural Gas Intrastate Transport & Storage	Reservation charges and transport fees based on utilization	Largest intrastate pipeline system in the U.S. with interconnects to TX markets, as well as major consumption areas throughout the U.S.

Unique Tech or Enhanced Recovery Methods

- There was **no unique tech found**
- However, I found that they are implementing new renewable natural gas (**methane gas from cows**).
- Transported 7 billion cubic feet of RNG in 2023, **a 40% increase from 2022**.
However, its asset base, combined with a focus on optimizing transportation and storage solutions, ensures its need for the United States.

Shareholder Base



13F Holders	% Total Shares Held	% of Portfolio	Market Value (M), USD
Blackstone Inc	3.82%	9.17%	2,102.69
Goldman Sachs Group Inc	2.07%	0.18%	1,138.35
ALPS Advisors Inc	2.04%	7.53%	1,125.70
Morgan Stanley - Brokerage Accounts	1.75%	0.07%	966.29
JPMorgan Chase & Co	1.70%	0.04%	937.71
Amvescap Plc.	1.70%	0.18%	935.60
Bank of America Corp	1.52%	0.07%	835.56
Tortoise Midstream Energy Fund, Inc.	1.09%	7.72%	599.34
FMR Inc	0.97%	0.03%	535.74
UBS Group AG	0.96%	0.12%	529.69
Total	17.63%	25.11%	9,706.67

- A significant 64.53% of Energy Transfer shares are held by public companies and individual investors, leading to a diversified shareholder base
- Insiders account for 10.33% of the shareholder base, which suggests important employees and management believe in the company's performance

- Blackstone Inc. holds the largest single portion of shares (13F) with 3.82% of total shares, representing a market value of \$2,102.69 million.
- Kelcy Warren, Executive Chairman of the Board holds 4.59% of Energy Transfer shares, showing a large interest in the company's success.

Financial Stability & Liquidity Position



- Debt-to-EBITDA ratio of 4.22x suggest financial stability, though limited room for additional borrowing without exceeding targets
- The quick ratio falls short of the 1.2x target, indicating lower liquidity inventory.
- However with a \$500M cash, a \$700M credit line, and \$1.2B in operating cash flow, can support short-term flexibility
- This strong liquidity position should help the company manage debt maturities and operations

Liquidity Overview

- **Cash & Equivalents:** \$500M
- **Unused Credit Line:** \$700M
- **Operating Cash Flow:** \$1.2B
- Current Ratio (1.8x) exceeds target (1.5x)

Debt Covenants & Ratios

- **Current Ratio:** 1.12 (Target: >1.5x)
- **Quick Ratio:** 0.83 (Target: >1.0x)
- **Debt-to-EBITDA Ratio:** 4.22x (Target: 4-4.5x)
- **Interest Coverage Ratio:** 3.27x

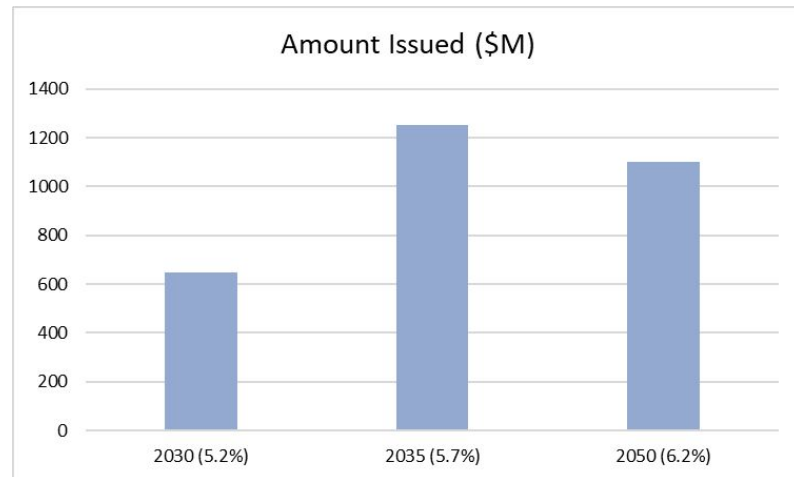
Capital Structure Changes

Share Repurchase Program:

- The Distribution Reinvestment Plan (DRIP) allows shareholders to reinvest distributions
- As of December 31, 2023, \$880 million remained available to repurchase under the current authorized unit buyback program
- Prioritizes shareholder value to offset dilution and support stock stability.

Issuance:

- In 2023, Energy Transfer executed a definitive agreement to acquire Crestwood at an enterprise value of approximately \$7.1 billion in an all-equity transaction.
- ET issued about 219 million common units to fund approximately \$2.7 billion of equity value.
- Increased outstanding shares to strengthen the asset base, with dilution offset by long-term growth.



Energy Transfer issued \$3 billion in debt to improve its financial structure and push out repayment deadlines. This helps the company maintain cash flow, manage interest costs, and ensure it has enough funding for future needs.

Key Industry & Regulatory Factors



- **Energy Security:** Heightened global focus on energy security, particularly in Europe following disruptions related to the Russia-Ukraine conflict, benefits Energy Transfer. As a major transporter of natural gas and NGLs, ET is well-positioned to supply both domestic and international markets seeking stable and reliable energy sources.
- **ESG Standards:** Currently there is pressure to remove GHG from the atmosphere, by cutting down on carbon emissions. However, there is still a growing energy demand. This puts pressure on Oil & Gas companies to reduce their carbon footprints.
- **Environmental Protection Agency Risk:** The EPA has introduced a rule imposing fees on oil and gas companies for excessive methane emissions. Starting at \$900 per ton in 2024, these fees will rise to \$1,500 per ton by 2026.
- **Lawsuit:** More than 20 states filed a federal lawsuit against New York earlier this month challenging the constitutionality of the new Climate Change Superfund Act, which will establish regulations seeking to collect roughly \$75 billion from companies
- **Energy Transfer vs. Greenpeace International:** Energy Transfer is currently facing a \$300 million lawsuit against Greenpeace, accusing the organization of unlawful activities during the Dakota Access Pipeline protests. In response, Greenpeace has sued Energy Transfer in a Dutch court, claiming the lawsuit is an attempt to silence activism under the EU's new anti-SLAPP directive.
- **Advancements in Fracking:** Horizontal drilling and multi-stage fracturing have made drilling more efficient. In fact U.S. shale-producing regions are forecast next month to hit the highest output in five months with new-well production up 28% from the previous year.

Income Statement

Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
REVENUES									
Refined product sales	17,766	26,020	23,389	22,051	23,154	23,617	24,089	25,293	25,799
Crude sales	15,299	23,473	23,492	25,368	26,636	27,169	27,713	29,098	29,680
NGL sales	15,243	20,114	15,957	19,105	20,060	20,461	20,871	21,914	22,353
Gathering, transportation and other fees	9,229	10,907	11,428	12,027	12,628	12,881	13,139	13,795	14,071
Natural gas sales	9,159	8,535	3,259	2,737	2,874	2,931	2,990	3,139	3,202
Other	721	827	1,061	1,383	1,452	1,481	1,511	1,586	1,618
Total revenues	67,417	89,876	78,586	82,671	86,805	88,541	90,311	94,827	96,724
COST AND EXPENSES									
Cost of products sold	(50,395)	(72,232)	(60,541)	(61,975)	(64,409)	(65,743)	(67,138)	(70,312)	(71,758)
Operating expense	(3,574)	(4,338)	(4,368)	(5,164)	(5,164)	(5,356)	(5,164)	(5,164)	(5,164)
Depreciation, depltion and amortization	(3,817)	(4,164)	(4,385)	(5,165)	(5,297)	(5,245)	(5,432)	(5,894)	(6,253)
Selling, general and administrative	(818)	(1,018)	(985)	(1,177)	(1,302)	(1,417)	(1,445)	(1,517)	(1,548)
Impairment losses and other	(21)	(386)	(12)	(52)	(52)	(52)	(52)	(52)	(52)
Total cost and expenses	(58,625)	(82,138)	(70,291)	(73,533)	(76,224)	(77,813)	(79,231)	(82,939)	(84,775)
OPERATING INCOME	8,792	7,738	8,295	9,138	10,580	10,728	11,080	11,888	11,949
OTHER INCOME (EXPENSE)									
Interest expense	(2,267)	(2,306)	(2,578)	(3,125)	(3,396)	(3,442)	(3,472)	(3,484)	(3,562)
Other, net	346	640	(120)	1,093	490	490	490	490	490
INCOME BEFORE INCOME TAX EXPENSE	6,871	6,072	5,597	7,106	7,674	7,776	8,098	8,894	8,877
Income tax expense	(184)	(204)	(303)	(541)	(637)	(723)	(834)	(1,005)	(1,092)
NET INCOME	6,687	5,868	5,294	6,565	7,037	7,053	7,264	7,889	7,785
EPS	\$ 1.89	\$ 1.40	\$ 1.10	\$ 1.29	\$ 1.62	\$ 1.71	\$ 2.03	\$ 2.54	\$ 2.83

Income Statement Breakdown



- **Revenue Growth:** Energy Transfer's total revenues are projected to rise from \$67.4 billion in 2021A to \$96.7 billion in 2029E, driven by higher crude oil, NGL, and natural gas sales, strategic expansions, and record transportation volumes. This growth reflects effective utilization of expanded infrastructure and a diversified asset base.
- **Cost Management:** Total costs are expected to grow alongside revenues, reaching \$84.8 billion by 2029E, with the cost of products sold as the largest component due to higher commodity prices. Efficient cost control and operational efficiency are crucial to maintaining margins amid rising expenses.
- **Operating Income:** Projected to increase from \$8.8 billion in 2021A to \$11.9 billion in 2029E, indicating strong cost management and improved efficiency despite expanding operations. This growth underscores Energy Transfer's ability to capitalize on its scale and infrastructure investments.
- **Interest and Other Income:** Interest expenses are forecasted to rise to \$3.6 billion by 2029E due to higher debt levels from acquisitions. However, strong cash flows and a stable interest coverage ratio demonstrate effective leverage management and financial stability.
- **Net Income and EPS:** Net income is expected to grow to \$7.8 billion with EPS reaching \$2.83 by 2029E, reflecting consistent profitability and effective margin management. This trend highlights Energy Transfer's ability to generate sustainable earnings and support shareholder returns.

Balance Sheet

Year	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
ASSETS								
Cash & cash equivalents	257	161	312	353	531	867	607	765
Accounts Receivables	8,559	9,148	10,278	10,792	11,008	11,228	11,789	12,025
Derivative Assets	10	66	9	28	28	28	28	28
Inventory	2,461	2,478	3,070	3,191	3,257	3,326	3,483	3,555
Other current assets	794	580	533	560	571	582	611	624
TOTAL CURRENT ASSETS	12,081	12,433	14,202	14,923	15,394	16,032	16,519	16,997
PP&E, net	80,311	85,351	95,212	105,145	107,636	108,139	109,463	110,052
Other assets, non-current	13,251	15,914	15,966	16,764	17,100	17,442	18,314	18,680
TOTAL ASSETS	105,643	113,698	125,380	136,833	140,130	141,612	144,296	145,729
LIABILITIES								
CURRENT LIABILITIES								
Accounts Payable	6,969	6,684	8,325	8,652	8,831	9,019	9,445	9,639
Derivative Liabilities	23	8	15	15	13	14	14	14
Operating lease current liabilities	45	56	67	70	71	73	76	78
Current maturities of long-term debt	2	1,008	8	8	8	8	8	8
Accured and other current liabilities	3,329	3,521	4,241	4,408	4,499	4,594	4,812	4,910
TOTAL CURRENT LIABILITIES	10,368	11,277	12,656	13,152	13,422	13,708	14,355	14,649
Long-term debt	48,260	51,380	59,752	60,538	59,752	59,752	59,752	59,752
Non-current derivative liabilities	23	4	-	9	9	9	9	9
Non-current operating leasing liabilities	798	778	730	769	759	753	760	757
Deferred income taxes	3,701	3,931	4,190	4,538	4,960	5,471	6,089	6,838
Other non-current liabilities	1,834	2,389	2,035	2,115	2,159	2,205	2,309	2,356
TOTAL LIABILITIES	64,984	69,759	79,363	81,121	81,060	81,896	83,273	84,361
SHAREHOLDERS EQUITY								
Preferred Unitholders	6,051	6,459	3,852	5,454	5,454	5,454	5,454	5,454
Common Unitholders	26,960	30,197	31,195	34,422	35,111	35,813	37,603	38,356
Other Equities	14	26	71	163	163	163	163	163
Total partners' capital	33,025	36,682	35,118	40,039	40,727	41,430	43,220	43,972
Noncontrolling interests	7,634	7,257	10,899	8,597	8,918	9,471	8,995	9,128
Total Equity	40,659	43,939	46,017	48,636	49,645	50,901	52,215	53,100
TOTAL LIABILITIES & EQUITY	105,643	113,698	125,380	136,833	140,130	141,612	144,296	145,729

Balance Sheet Breakdown



- **Total Assets:** Projected to grow from \$125.4 billion in 2024A to \$145.7 billion in 2029E, driven by significant investments in infrastructure expansions, such as pipelines and storage facilities, and acquisitions like Crestwood. Property, Plant & Equipment (PP&E) remains the largest asset category, reflecting Energy Transfer's capital-intensive business model.
- **Current Assets and Liquidity:** Expected to rise to \$17.0 billion by 2029E, supported by higher cash balances, reaching \$765 million, and increased inventory levels at \$3.3 billion. This growth indicates strong sales performance and effective working capital management, enhancing the company's ability to fund operations and manage short-term obligations.
- **Total Liabilities:** Forecasted to increase moderately to \$84.4 billion by 2029E, with long-term debt stabilizing around \$59.8 billion due to strategic refinancing and debt maturity management. Deferred income taxes are expected to grow to \$6.8 billion, reflecting higher taxable income from expanding operations. The balanced approach to debt helps maintain financial flexibility.
- **Shareholders' Equity:** Anticipated to reach \$53.1 billion in 2029E, driven by consistent retained earnings, stable dividend payouts, and limited issuance of preferred units. Common unitholders' equity is projected to grow significantly to \$35.1 billion, reflecting improved profitability and potential unit buybacks to enhance shareholder value.

Cash Flow Statement

Year	2025E	2026E	2027E	2028E	2029E
Net income	7,037	7,053	7,264	7,889	7,785
Depreciation and amortization	(5,297)	(5,245)	(5,432)	(5,894)	(6,253)
Deferred income tax	299	325	352	383	415
Decreases / (Increases) in working capital assets	(721)	471	(637)	(488)	478
Increases / (Decreases) in working capital liabilities	496	(269)	286	647	(294)
Other non current assets	798	335	342	872	366
Other non current liabilities	80	44	46	104	47
Cash from operating activities	13,001	14,690	14,690	14,690	14,690
Capital expenditures	(5,943)	(6,224)	(6,349)	(6,479)	(6,777)
Cash from investing activities	(5,943)	(6,224)	(6,349)	(6,479)	(6,777)
Proceeds from borrowing	38,592	42,482	43,482	44,582	46,482
Repayment of debt	(37,957)	(41,979)	(41,215)	(42,123)	(43,367)
Distribution to partners	(5,521)	(6,580)	(7,842)	(8,123)	(8,281)
Distribution to noncontrolling interests	(1,819)	(1,858)	(1,899)	(1,940)	(1,982)
Cash from financing activities	(6,705)	(7,935)	(7,474)	(7,604)	(7,148)
Net change in cash during period	353	531	867	607	765

Cash Flow Breakdown



- **Strong Operating Cash Flow:** Cash from operating activities is projected to stabilize at \$14.7 billion annually from 2026E to 2029E, driven by consistent net income growth to \$7.8 billion and rising depreciation expenses to \$6.3 billion. Effective working capital management supports reliable cash generation.
- **Significant Capital Investments:** Capital expenditures are expected to grow to \$6.8 billion by 2029E, focusing on pipeline and infrastructure expansion. Net cash used in investing is projected to stabilize at similar levels, reflecting a balanced reinvestment strategy.
- **Disciplined Debt Management:** Borrowing is forecasted to rise to \$46.5 billion by 2029E, with repayments reaching \$43.4 billion, indicating a strategic focus on managing leverage efficiently and maintaining a stable debt-to-EBITDA ratio.
- **Commitment to Shareholder Returns:** Distributions to partners are projected to increase to \$8.3 billion by 2029E, highlighting a shareholder-friendly approach backed by strong cash flows and a balance between reinvestment and investor rewards.
- **Improving Liquidity Position:** Net cash is expected to grow annually, reaching \$765 million by 2029E, enhancing Energy Transfer's flexibility for acquisitions and investments without over-relying on external financing.

Energy Transfer DCF

Ticker	ET	Implied Price Per Share				\$40.81			
Date	2/26/25	Current Share Price				\$19.16			
Year end	12/31/25	Implied Upside / (Downside)				113%			
Assumptions									
WACC	8.00%								
TGR	2.50%								
DCF	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	67,417	89,876	78,586	82,671	86,805	88,541	90,311	94,827	96,724
% growth		33%	-13%	-8%	10%	7%	4%	7%	7%
EBIT	8,792	7,738	8,295	9,138	10,580	10,728	11,080	11,888	11,949
% of sales	13%	9%	11%	11%	12%	12%	12%	13%	12%
Taxes	184	204	303	541	637	723	834	1,005	1,092
Tax rate	3%	3%	5%	8%	8%	9%	10%	11%	12%
EBIAT					9,943	10,005	10,246	10,883	10,857
D&A	3,817	4,164	4,385	5,165	5,297	5,245	5,432	5,894	6,253
% of sales	6%	5%	6%	6%	6%	6%	6%	6%	6%
CapEx	2,822	3,381	3,134	4,164	5,943	6,224	6,349	6,479	6,777
% of sales	4%	4%	4%	5%	7%	7%	7%	7%	7%
Change in NWC	298	(1,713)	(1,156)	(1,546)	(1,418)	(1,442)	(1,456)	(1,557)	(1,583)
% of sales	0.4%	(2%)	(1%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)
Unlevered FCF					10,715	10,468	10,785	11,855	11,916
Present Value of FCF					8,433	9,693	9,986	10,977	11,033
Discount Period					0.85	2.00	3.00	4.00	5.00
Terminal Value									222,071
Present Value of Terminal Value									151,138
Enterprise Value									201,260
(+) Cash									312
(-) Debt									59,752
Equity Value									141,820
Diluted Shares									3,475
Implied Stock Price									\$40.81

WACC

Market Cap	65,740
% of Equity	52.4%
Cost of Equity	10.92%
Risk Free Rate	4.279%
Beta	1.68
Market Risk Premium	3.95%
Debt	59752
% of Debt	47.61%
Cost of Debt	5.23%
Tax Rate	8.30%
Total	125,492
WACC	8.00%

Sensetivity Table						
TGR	WACC					
		8.50%	8.25%	8.00%	7.75%	7.50%
	2.00%	\$ 33.04	\$ 34.93	\$ 36.99	\$ 39.23	\$ 41.68
	2.25%	\$ 34.56	\$ 36.60	\$ 38.82	\$ 41.24	\$ 43.91
	2.50%	\$ 36.21	\$ 38.41	\$ 40.81	\$ 43.45	\$ 46.35
	2.75%	\$ 38.00	\$ 40.38	\$ 42.99	\$ 45.87	\$ 49.05
	3.00%	\$ 39.96	\$ 42.55	\$ 45.39	\$ 48.55	\$ 52.06

Cash Flow Breakdown



- **Significant Upside Potential:** The DCF model implies a share price of \$40.81—113% above the current \$19.16—based on projected revenues of \$96.7 billion by 2029E. However, this upside relies on stable commodity prices, growing demand, and Energy Transfer's ability to manage regulatory and environmental challenges effectively.
- **Margin and Cost Management Risks:** EBIT margins are forecasted to stay at 12–13%, but rising capital expenditures, expected to reach \$6.8 billion by 2029E, could pressure margins. Successful integration of new assets without cost overruns will be crucial to sustaining profitability and free cash flow growth.
- **Interest Rate Exposure:** With projected debt at \$59.8 billion by 2029E and a cost of debt at 5.23%, rising interest rates could significantly impact interest expenses, compressing net income and reducing free cash flow if refinancing becomes more expensive.
- **Sustainability of Shareholder Returns:** Distributions to partners are projected to grow to \$8.3 billion by 2029E, emphasizing shareholder value. However, maintaining high payouts amid increasing capex and debt repayments requires precise cash flow management and sustained operational performance.
- **Real-Life Risks to Valuation:** The terminal growth rate of 2.5% appears reasonable, but slower growth due to regulatory constraints or a shift towards renewables could lower the terminal value, reducing the implied share price. Effective execution of growth strategies and risk management will be key to realizing the DCF's optimistic outlook.

Comparable Companies Valuation

Date 2/27/25
Currency USD

																				Trading Multiples					
		Current	Share	Enterprise	Market	Revenue			EBITDA		Net Income		Revenue Growth		EBITDA Margin		Profit Margin		EV / Revenue		EV / EBITDA		P / E		
Ticker	Company Name	Price	Count	Value	Cap	23	24	25	24	25	24	25	23-24	24-25	24	25	24	25	24	25	24	25	24	25	
ET	Energy Transfer	19.16	3,475	201,260	64,990	78,586	82,671	86,805	14,303	15,877	6,565	7,037	5%	5%	17%	18%	8%	8%	2.4x	2.3x	14.1x	12.7x	9.9x	9.2x	
PAA	Plains All American Pipeline, L.P.	19.96	703	24,910	14,150	48,712	50,073	52,914	2,779	2,877	1,059	1,115	3%	6%	6%	5%	2%	2%	0.5x	0.5x	9.0x	8.7x	13.4x	12.7x	
KMI	Kinder Morgan, Inc.	26.21	2,222	89,730	58,150	15,334	15,100	16,446	7,938	8,337	2,571	2,895	(2%)	9%	53%	51%	17%	18%	5.9x	5.5x	11.3x	10.8x	22.6x	20.1x	
EPD	Enterprise Products Partners, L.P	32.82	2,168	102,300	71,830	49,715	56,219	58,893	9,899	10,391	5,953	6,293	13%	5%	18%	18%	11%	11%	1.8x	1.7x	10.3x	9.8x	12.1x	11.4x	
MPLX	MPLX LP	52.24	1,017	74,170	53,760	11,281	11,933	12,653	6,764	7,095	4,290	4,692	6%	6%	57%	56%	36%	37%	6.2x	5.9x	11.0x	10.5x	12.5x	11.5x	
TRGP	Targa Resources Corp.	195.54	218	57,420	43,310	16,060	16,382	22,303	4,142	4,698	1,481	1,782	2%	36%	25%	21%	9%	8%							
Mean													4%	12%	32%	30%	15%	15%	3.6x	3.4x	10.4x	9.9x	15.1x	13.9x	
Median													3%	6%	25%	21%	11%	11%	4.7x	4.4x	10.9x	10.4x	15.7x	14.3x	
		2025 Trading Multiple			2025 Financial Metric			Enterprise Value						Equity Value			Implied Share Price								
Calculating Implied Share Price		Revenue	EBITDA	P/E	Revenue	EBITDA	EPS	Revenue	EBITDA	Net Income	Cash	Debt	Shares	Revenue	EBITDA	Net Income	Revenue	EBITDA	Net Income						
Minimum		0.5x	8.7x	11.4x	86,805	15,877	1.62	40,865	137,468	--	312	59,752	3431	-22,427	189,937	63,443	\$ (6.54)	\$ 55.36	\$ 18.49						
Mean		3.4x	9.9x	13.9x	86,805	15,877	1.62	293,525	157,659	--	312	59,752	3431	230,233	210,128	77,327	\$ 67.10	\$ 61.24	\$ 22.54						
Median		4.4x	10.4x	14.3x	86,805	15,877	1.62	377,745	164,389	--	312	59,752	3431	314,453	216,858	79,591	\$ 91.65	\$ 63.21	\$ 23.20						
Maximum		5.9x	10.8x	20.1x	86,805	15,877	1.62	508,838	170,882	--	312	59,752	3431	445,546	223,351	111,644	\$ 129.86	\$ 65.10	\$ 32.54						

Comps Overview

- **Undervalued vs. Peers:** Energy Transfer's P/E ratio of 9.2x for 2025E is well below the peer median of 14.3x, suggesting potential undervaluation. If the company sustains earnings growth and navigates regulatory risks effectively, its multiple could expand, offering significant upside.
- **Solid Margins:** With EBITDA margins of 18% and profit margins of 8% for 2025E, Energy Transfer's profitability is comparable to peers. Maintaining these margins amid rising capex and debt costs will be key to supporting a higher valuation.
- **Healthy Revenue Growth:** Projected revenue growth of 5% for 2025E exceeds the peer median of 3%, reflecting strong demand for its services. Effective execution of growth projects will be essential to sustain this trajectory.
- **Valuation Upside:** The implied share price ranges from \$22.54 to \$65.10 based on 2025E multiples, with a median of \$43.91—well above the current \$19.16. Achieving this upside depends on efficient capex management and mitigating regulatory risks.
- **Leverage Concerns:** With \$59.8 billion in debt and a debt-to-equity ratio of 47.6%, managing interest costs amid rising rates will be crucial. Stable debt management is necessary to support margins and potential multiple expansion.

Valuation for Energy Transfer



Risks Related to Midstream Oil & Gas / Energy Transfer

- **Tariff and Regulatory Risks:** The recent 25% steel tariffs and evolving trade policies could significantly raise pipeline construction costs, impacting margins and delaying projects. Additionally, ongoing regulatory uncertainties around permitting and environmental compliance add financial and operational risks.
- **Commodity Price Volatility:** Energy Transfer's revenue is highly sensitive to natural gas, NGL, and crude oil prices. Prolonged low prices could reduce production and throughput volumes, while high prices might decrease demand from cost-sensitive end-users.
- **Environmental Regulations:** Increasing scrutiny on methane emissions and potential carbon pricing mechanisms could elevate compliance costs. Proposed restrictions on hydraulic fracturing might also limit production in key basins, affecting transport volumes.
- **Competition Risks:** Intense competition from other midstream operators and alternative transport methods, such as rail and trucking, could pressure pricing and limit Energy Transfer's ability to renew contracts at favorable rates.
- **Interest Rate and Inflation Risks:** Rising interest rates could increase borrowing costs for Energy Transfer's \$59.8 billion debt load, while inflation could raise input costs for labor and materials, potentially compressing margins if higher costs cannot be fully passed through to customers.
- **Operational Risks:** Energy Transfer's extensive pipeline network is exposed to risks from natural disasters like hurricanes, floods, and extreme weather, which could disrupt operations and lead to significant repair and maintenance costs. Limited insurance coverage for certain catastrophic events further heightens this risk.

Investment Rationale

- **Strong Market Position & Growth:** Energy Transfer's 125,000 miles of pipelines across 41 states make it a leading U.S. midstream company. It transports 40% of U.S. crude oil and 30% of natural gas, with NGL exports up 18% in 2022. Rising energy demand and recent acquisitions like Crestwood (\$7.1B) enhance its growth potential. Buying at \$20 offers a solid entry with a margin of safety.
- **Attractive Valuation:** At a buy price of \$20, ET's forward P/E ratio would be well below the current 15.02x, suggesting undervaluation. With \$880M left for share buybacks and a strong yield, the stock presents a compelling value play. The Crestwood acquisition further strengthens its asset base and growth outlook.
- **Financial Strength:** ET's \$500M in cash, \$700M credit line, and \$1.2B in operating cash flow reflect solid liquidity. A Debt-to-EBITDA ratio of 4.22x and recent \$3B in senior notes issuance optimize debt management and lower refinancing risks. Entry at \$20 captures this stability at a discount.
- **Upside Potential:** Intrinsic value estimated at \$40–\$45 suggests over 100% upside from \$20, reflecting strong cash flows and growth prospects. This discount accounts for risks like regulations and interest rates but offers a significant safety margin if managed well.
- **Recommendation:** Strong Buy at \$20 with a target of \$40–\$45 within 12–18 months. The attractive entry point, combined with robust cash flows and strategic growth, supports both capital gains and consistent income through distributions.

Stock Data

Rating: **BUY**

Price Target: \$20.00

Market Cap (\$B): 66.987

Shares Out: 3,431,214,964

Average Daily Vol: 1,858,356

Divident Yield: 6.78%

Estimates

FY Dec

Q1: 1.89

Q2: 1.40

Q3: 1.09

Q4: 1.28

Fiscal EPS : 1.46

Fiscal P/E: 15.02



Sources



- ET December 2024 Investor Presentation
 - https://www.energytransfer.com/wp-content/uploads/2024/12/ET-December-2024-Investor-Presentation_Final.pdf
- ET September 2023 Investor Presentation
 - https://www.energytransfer.com/wp-content/uploads/2023/09/ET-September-2023-Investor-Presentation_Final.pdf
- 2024 10 - K Energy Transfer
 - <https://ir.energytransfer.com/static-files/57af0bda-ee4f-4ce2-aa72-8e77ee5e378b>
- Yahoo Finance
 - <https://finance.yahoo.com>
- MorningStar
 - <https://www.morningstar.com/>
 - <https://fnra-markets.morningstar.com/MarketData/EquityOptions/detail.jsp?query=126:0P00000AKK>
- Investopedia
 - <https://www.investopedia.com/investing/oil-gas-industry-overview/>
- Investor Profile
 - [Exploring Energy Transfer LP \(ET\) Investor Profile: Who's Buying and Why?](#)
- Pitchbook ET Profile
 - <https://my.pitchbook.com/profile/41504-50/company/profile>
- News
 - [Energy Transfer Files for Regulator Review in Pipeline Spat - TT](#)
 - [Critical ESG Challenges for Oil and Gas Companies | GEP Blog](#)
 - [More than 20 states file lawsuit to block New York Superfund Act](#)
- International Renewable Energy Agency
 - https://www.irena.org/-/media/files/irena/agency/publication/2019/jan/global_commission_geopolitics_new_world_2019.pdf